EXECUTIVE SUMMARY

A. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA" which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 23,597 and based on the statistics of the last election, a total of 14,216 were registered voters.

For CY 2018, the Municipality of Piat had a total of 136 personnel complement with 65 permanent, 11 elective, 3 co-terminus, 16 casual employees and 41 job order.

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2018 with comparative figures for CY 2017 are as follows:

Financial Position	**2018**	**2017**	**Increase/(Decrease)**
Total Assets	265,035,939.80	211,372,688.59	53,663,251.21
Total Liabilities	64,628,603.92	43,853,701.55	20,774,902.37
Total Government Equity	200,407,335.88	167,518,987.04	32,888,348.84
Financial Performance			
Total Income (Includes Subsidy from Other Funds)	103,488,903.56	95,452,594.73	8,036,308.83
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	78,460,025.04	66,186,137.94	12,273,887.10
Appropriations, Allotments and Obligations			
Total Appropriations-Current	92,999,266.00	89,958,214.00	3,041,052.00
Total Obligations	73,712,832.12	61,223,368.24	12,489,463.88
Appropriations-Continuing	43,155,829.05	21,685,728.90	21,470,100.15
Obligations-Continuing	10,967,925.95	5,892,479.16	5,075,446.79

In CY 2018, the Municipality of Piat received funds from other government agencies totaling P20,550,153.24 and there had been no transferred funds to barangays:

Funds Received from:	**2018**	**2017**	**Increase/(Decrease)**
National Government Agencies (NGAs)	**20,550,153.24**	**17,514,175.30**	**6,345,830.55**
Local Government Units	**-**	**-**	**-**
Non-Government Organizations/People's Organizations (NGOs/POs)	**-**	**-**	**-**
Others	**-**		
Total	**20,550,153.24**	**₱17,514,175.30**	**6.345,830.55**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	36,000.00	36,000.00
NGOs/POs	-	-	-
Total	-	**36,000.00**	**36,000.00**

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2018 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Other Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 8, 2019:

1. Supplies and materials in the total amount in the total amount of P6,229,587.07 procured in CY 2018 were treated as outright expense instead of using the "Inventory" account, which is not in accord with Sections 51 and 114 of the Manual on NGAS for LGUs, Volume I, thus, the asset and expense accounts are misstated.

   We recommended Management to:

   a. direct the Municipal Accountant to adopt the perpetual inventory method for supplies and materials;

   b. provide budget for storage for the the supply requirements, otherwise, if no available storage area is available, we recommended that control procedures be established to regulate the issuance to the end-users within a month; and

c. a central procurement system may be introduced by establishing the actual needs of each section offices as documented in the Annual Procurement Plan.

2. The Municipal Treasurer allowed various payments to suppliers, contractors and other creditors despite the absence of approval by the head of the agency of the non-recurring transactions, in the total amount of P2,393,150.69, contrary to Section 344 of Republic Act 7160 and Section 4, paragraphs 5 and 6 of Presidential Decree No. 1445 thus, raised doubts as to the validity of the paid claims that may result in suspension or disallowance in audit.

   We recommended that the Municipal Treasurer observe strictly the provisions of Section 4, paragraph 5 of Presidential Decree No. 1445 to avoid suspensions and disallowances in audit.

3. The supporting documents of disbursement vouchers and payrolls were not stamped "PAID" as provided under Sections 123 and 124 of Presidential Decree No. 1445, thus, exposing them to possible misuse, contrary to sound internal control system.

   We recommended that the Municipal Treasurer exercise due care in the release of payments for every transaction and to stamp "PAID" in all of the attached supporting documents of the Disbursement Vouchers and Payrolls upon the release of every payment to comply with the established rules and regulations.

4. The Fidelity Bonds applied for some of the LGU Accountable Officers were insufficient and inappropriate compared to their actual duties and responsibilities contrary to Items 7.1 and 7.3 of COA Circular 97-002 dated February 10, 1997, and Section 2 of Presidential Decree (PD) 1445, thus, there is a possibility of non-recovery of government funds in case of loss or defalcation.

   In view of the foregoing, we recommended the following to the Management:

   (1) To instruct the Municipal Accountant, who has the main responsibility to monitor the timely application of Fidelity Bonds, to check the correctness of the amount and duties indicated in the application to be submitted to the Bureau of Treasury; and

   (2) To the Approving Officer, to ensure the correctness of all data in the application for Fidelity Bonds before he affixes his signature for approval and prior to submission to the Bureau of Treasury.

   (3) The Management committed to modify the Fidelity Bond of the first Collecting Officer to cover his collecting functions and to increase the Fidelity Bond of the other Collecting Officer.

5. The Municipality's Intra-Agency accounts, Due from Other Funds and Due to Other Funds of ₱14,108,264.25 and ₱8,400,221.28, respectively, in the Consolidated Statement of Financial Position are unreliable due to the disparity of ₱5,708,042.97, which could not be traced by the Accounting Section to reconcile the same, contrary to Sections 111 and 112 of Presidential Decree 1445 and COA Circular No. 2015-009 dated December 1, 2015.

   We recommended that the Local Chief Executive require the Municipal Accountant to reconcile the Intra-Agency Accounts, "Due from Other Funds and Due to Other Funds" to promptly identify any discrepancy in the balances of the two accounts and effect the necessary adjustments to bring the affected accounts into an agreement.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	992,553.29	-	95,250.00	897,303.29	9.04
Current Year	-	500,000.00	-	500,000.00	-
Total	992,553.29	500,000.00	95,250.00	1,397,303.29	9.04
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 20 audit recommendations in the previous years' Annual Audit Reports, five (5) were implemented, seven (7) were partially implemented and eight (8) were not implemented.